

8.4 Green Partnerships

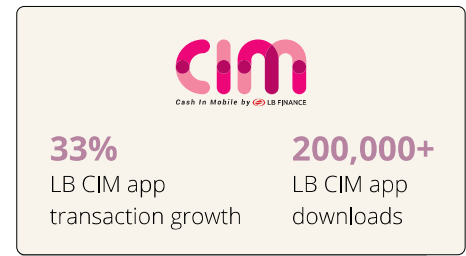
Marking a key milestone, we joined the United Nations Global Compact (UNGC) Network Sri Lanka in 2024, reinforcing our dedication to responsible business practices and contributing to global climate action. This partnership enables us to align our strategies with the UNGC's framework for sustainable development.

Beyond the UNGC, we partner to minimise environmental impact. We have collaborated with Neptune Papers (Pvt) Ltd., on responsible paper recycling initiatives. Furthermore, we have strengthened our

emissions management by engaging Control Union Inspections (Pvt) Ltd., to conduct Greenhouse Gas (GHG) verification, ensuring adherence to internationally recognised environmental standards.

8.5 Business Process Digitalisation

The LB CIM app promotes sustainable financing with a significantly low environmental footprint. As a cashless and fully digital solution, LB CIM app eliminates the need for paper and reduces customer commuting, minimising its environmental impact.



Refer Intellectual Capital on page 172 for information

9. IDENTIFYING SUSTAINABILITY-RELATED AND CLIMATE-RELATED RISKS AND OPPORTUNITIES

The process of determining material matters serves as a strategic cornerstone for identifying critical SRROs and CRROs.

Material matters assessed as highly significant inherently represent notable risks or opportunities for the Company, demanding proactive and strategic management. The Head of Sustainability is tasked with providing the Head of Risk with a prioritised list of these material matters. This ensures the seamless integration

of all relevant SRROs and CRROs into the Company's Risk Register, thereby guaranteeing their inclusion and oversight within our broader risk management framework, encompassing robust measurement, continuous monitoring, effective management, and transparent reporting processes.

For more information refer page 337, Integrated Risk Management

10. CONTRIBUTING TO THE UN SDGs



Our dedication to a sustainable future at LBF is a driving force, deeply intertwined with our active contribution to the UN Sustainable Development Goals (SDGs). Our initiatives are crafted to stimulate economic prosperity, uphold environmental stewardship, and enhance social well-being. By embedding the SDGs into the core of our business strategies, we aim to deliver a holistic and positive impact, creating lasting value for our customers, the communities we serve, and the planet.

SDGs and Underlying Targets		Initiatives Implemented by LB Finance	Page
1 NO POVERTY 	No Poverty (1.4)	- Conducted financial inclusion programmes - Offered microfinance facilities in Myanmar	33 - 36 241 - 244
2 ZERO HUNGER 	Zero Hunger (2.3, 2.4)	- Launched the LB CIM mobile merchant app for SME development - Organised capacity building for entrepreneurs	34 204
3 GOOD HEALTH AND WELL-BEING 	Good Health & Well-Being (3.1, 3.2, 3.7, 3.8)	- Provided health facilities for selected locations - Conducted mental and physical health programmes	203 201, 203

INTEGRATED SUSTAINABILITY REPORT

SDGs and Underlying Targets		Initiatives Implemented by LB Finance	Page
4 QUALITY EDUCATION 	Quality Education (4.1, 4.2, 4.4, 4.5, 4.6)	• Continuation of pre-school development project	202
		• Initiated learnerships and targeted business training programmes to foster skill development and enhance professional capabilities	204
		• Supported the development of Sri Lanka's education system through the implementation of targeted awareness programmes	204
5 GENDER EQUALITY 	Gender Equality (5.1, 5.2, 5.5, 5b)	• Initiated women empowerment programmes	200
		• Launched a women-centric gold loan product to expand financial accessibility	35, 178, 231
6 CLEAN WATER AND SANITATION 	Clean Water and Sanitation (6.1)	• Provided purified drinking water to students at Sunanda Maha Vidyalaya, Padeniya	203
7 AFFORDABLE AND CLEAN ENERGY 	Affordable and Clean Energy (7.2, 7.3)	• Converted 40 branches to hybrid solar power systems.	106
		• Conducted energy audits	106
		• Introduced a dedicated Solar Loan product	116
8 DECENT WORK AND ECONOMIC GROWTH 	Decent Work and Economic Growth (8.2, 8.3, 8.5, 8.6, 8.10)	• Enhanced SME service offerings and launched m-commerce platforms to support business growth	204
		• Championed digital transformation in Sri Lanka by implementing and promoting QR-based payment solutions	181
9 INDUSTRY, INNOVATION AND INFRASTRUCTURE 	Industry, Innovation and Infrastructure (9.1, 9.3, 9.4)	• Inclusion through rural connectivity by opening branches	33
		• Strategically deploying disruptive technologies, such as Artificial Intelligence (AI), to optimise business processes	181
10 REDUCED INEQUALITIES 	Reduced Inequalities (10.2)	• Developing and delivering targeted financial solutions to empower marginalised communities.	35
11 SUSTAINABLE CITIES AND COMMUNITIES 	Sustainable Cities and Communities (11.3, 11.7)	• Implemented urban tree planting and landscaping programmes to improve local environments and community well-being	216
		• Expanding our product and service offerings through accessible and user-friendly digital platforms	181
12 RESPONSIBLE CONSUMPTION AND PRODUCTION 	Responsible Consumption and Production (12.5)	• Instituted comprehensive waste management programmes focused on reduction, reuse, and recycling	219
		• Promoted recycling and responsible use of plastics within our operations and community initiatives	105
		• Pursuing and achieving green building accreditation for our facilities to minimise environmental impact	115
13 CLIMATE ACTION 	Climate Action (13.1, 13.3)	• Implementing targeted climate programmes and robust energy efficiency initiatives across operations	95, 213
		• Transitioning towards greater reliance on renewable energy sources for our operational needs	213
14 LIFE BELOW WATER 	Life Below Water (14.2)	• Protection for marine eco system through projects such as beach care taker and colour fish project	217

SDGs and Underlying Targets	Initiatives Implemented by LB Finance	Page
 15 LIFE ON LAND Life on Land (15.2, 15.7, 15.5, 15c)	• Implemented reforestation programmes in the Yagirala forest reserve	216
	• Instituted a tree planting programme integrated with every new branch opening.	215
	• Launched a mangrove planting programme in Ittapana	215
 16 PEACE AND JUSTICE STRONG INSTITUTIONS Peace, Justice and Strong Institutions (16.4, 16.5, 16.6)	• Implemented anti-money laundering and anti-bribery initiatives within the organisation	277, 296, 313, 335
	• Collaborated with the UN Global Compact to advance shared sustainability goals.	303
 17 PARTNERSHIPS FOR THE GOALS Partnerships for the Goals (17.7, 17.8, 17.17)	• Nurtured sustainable partnerships with government and private organisations	215 -218

11. SUSTAINABILITY STRATEGY WITH MEASURABLE TARGETS

Pillars Upholding Sustainability	Strategic Focus	KPI	2024	2030	2050	Capital Alignment
Solidifying Financial Stability	Building a Sustainable Portfolio	Enhancing Green and Sustainability-linked portfolio				 NC
	Keeping Strong Fund Mix	Leveraging Green Product-based refinance schemes				 FC
	Embedding Climate and ESG Risk in Credit Evaluation	ESG-based Credit Score				 FC
Reducing Environmental Impact	Responsible Consumption	Reducing Energy Consumption, Water Consumption, Fuel Consumption, Waste Management				 NC  MC
	Aligning with Net Zero Emission Target	GHG Carbon Footprint Measurement (Including financed emission)				 NC  MC
	Climate Risk Management and appropriate disclosure	Adoption under IFRS S1 and S2				 FC  NC
Driving Inclusive Growth	Financial Inclusion	Attract more customers through Digital transactions				 FC  IC
	Community Well-being	Expanding the net of CSR Beneficiaries and strategic partnerships				 SRC
Building a Great Workplace	Empowering Employees	Increase No. of trainings, Employee Benefits, Productivity per employee				 HC
	Promoting Diversity & Gender Balance	Increasing Women hires				 HC
	Ensuring Zero Tolerance for Bribery and Corruption	Monitoring and Solving Whistleblowing Cases				 HC

 Completed  In Progress  Not Started